

1. Despite steady "Book Now" ad delivery, the campaign yielded very few bookings because Windharbor Inn likely missed core issues regarding content relevance, target audience alignment, ad format, and keyword selection. For instance, for a prospective client residing on the East Coast looking for a getaway in the New York area, the ad delivery would be appropriate if it targeted the client's geo-location properly. However, for a traveler residing in Texas looking to spend a weekend at a quiet resort, or for someone looking to book a quick stay close to JFK Airport in New York City, this ad delivery would be completely inappropriate. A quiet, scenic inn simply does not match an airport transit intent or an un-targeted out-of-state demographic, leading to wasted spend.

To better deploy their digital marketing dollars, Windharbor Inn should invest in developing their own high-performing website that delivers a smooth, seamless customer booking experience. Additionally, it would be beneficial for the inn to invest in backlinking strategies and a robust social media presence across travel blogs and social media platforms. These external links directly build the website's overall site authority, brand reputation, and business awareness. When deployed alongside highly targeted paid search advertising, these organic initiatives will result in an increased number of organic site visits and overall business visibility.

Furthermore, by assessing a competitor's search visibility, content structure, backlinks, and exact target keywords, Windharbor Inn can identify keyword and messaging gaps, discover new outreach opportunities, and deliver much higher content relevance. Ultimately, by combining paid search that specifically targets prospective clients in the New York State area with a smooth on-site booking experience, strong ad relevance, and strategic social media outreach, Windharbor Inn can attract significantly more direct clients than it would by just relying on "Book Now" advertising on third-party online travel agency sites.

2. If InsightAI focuses heavily on click-through rates (CTR) and new account sign-ups, it risks optimizing for a false metric of growth. In fact, it was already observed that many new accounts were no longer active 30 days later, demonstrating that this is an inefficient strategy. Prioritizing sign-ups ignores critical long-term factors such as customer retention, churn rates, active app usage time, and brand authority. While the company might use high sign-up volumes to attract potential investors, it will eventually face a pitfall when actual cash flow and monetization remain low.

Additionally, focusing largely on click-through rates can be a misleading indicator of company growth. A high volume of clicks often leads to an empty metric and wasted advertising spend if there is no long-term customer retention. High CTR frequently includes accidental clicks and curious browsing from individuals who have neither the intent nor the financial capacity to buy the product. Ultimately, this indicates a low-intent audience and zero engagement, rather than genuine business expansion.

3. In the Mas Retail case scenario, paid search campaigns in the test markets led to a substantial increase in ad-click revenue. However, reviewing the unexposed control markets revealed that organic brand clicks were 3.9% higher and direct visits were 4.2% higher, while total site visits overall outperformed expectations. This baseline performance can be attributed to the company's strong brand reputation, active social media presence, loyal customer base, and word-of-mouth promotion.

Relying strictly on attribution-based metrics like Return on Advertising Spend (ROAS) to justify these campaigns introduces several key problems.

First, the ROAS metric tracks correlation rather than causation. It captures transactions from both users who were truly influenced by the ad and existing loyal customers who simply clicked the paid ad as a shortcut to navigate to the site, resulting in wasted ad spend. Additionally, attribution-based metrics can easily lead to double-counting. For instance, if a user clicks an Instagram ad, later clicks a Google ad, and then buys the item, both platforms will claim 100% credit for that single sale, heavily inflating platform-reported revenue compared to the actual revenue. Finally, ROAS calculations focus strictly on gross revenue and ignore critical business costs such as product margins, shipping fees, returns, and discounts. Consequently, a campaign can yield a high ROAS on paper while the company's actual net profit is much lower.

4. In the EduPlus case, directing future promotional expenditures exclusively into one platform such as shifting the entire budget to TikTok because a past influencer campaign generated higher returns than YouTube, can lead to poor future outcomes. This approach relies on a lagging indicator, whereas market conditions, consumer behaviors, and competitive landscapes constantly evolve. ROI cannot account for future shifts; for instance, if a new competitor enters the market, EduPlus may be forced to increase its ad spend, or the channel itself may become oversaturated, failing to bring in the same revenue as before. Consequently, doubling down on a channel simply because it yielded a high ROI last year often fails due to channel saturation and changing customer trends.

Furthermore, focusing strictly on isolated ROI figures ignores the interaction between different platforms. Other promotional channels like blogs, television, or alternative social media networks might show a lower direct ROI, but they positively impact organic search results, increase overall website traffic, and drive word-of-mouth promotion. Isolating and cutting these channels based solely on immediate ROI can ultimately hurt the long-term performance of high-performing platforms like TikTok.

5. Based on the four case scenarios, the first key pitfall to avoid in digital marketing is focusing too heavily on a single advertising channel. As demonstrated by Windharbor Inn and EduPlus, relying on a single channel to promote a business can result in market oversaturation, low customer retention, and high wasted spend on a platform that is unlikely to yield the same high historical returns. Additionally, isolating and cutting off other promotional channels can hamper a firm's long-term brand awareness, damage its overall market authority, and lead to poor organic site traffic. Digital marketing strategies must look beyond individual channels to capture the organic lift and cross-channel interaction that build sustainable visibility.

The second major pitfall is over-indexing on top-of-funnel metrics such as click-through rates and new account sign-up, and relying strictly on attribution-based metrics like ROAS. The InsightAI and Mas Retail case scenarios illustrate that prioritizing immediate sign-ups ignores critical long-term health indicators, including customer retention, churn rates, active app usage time, and brand equity. High click-through rates often serve as a misleading indicator of company growth because they capture accidental clicks or low-intent browsing rather than genuine engagement. Furthermore, relying entirely on platform-reported attribution metrics can lead to severe financial distortions due to

double-counting and an exclusive focus on gross revenue rather than net profit, ultimately resulting in misallocated budgets and wasted ad spend.